

MSRF Inc.	<i>Complainant,</i>	DOCKET NO. 22-20
v.		
HMM Company Limited,	<i>Respondent.</i>	

By: /s/

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**BEFORE THE
FEDERAL MARITIME COMMISSION**

MSRF Inc.	)	
	)	
<i>Complainant,</i>	)	DOCKET NO. 22-20
	)	
v.	)	
	)	
HMM Company Limited,	)	
<i>Respondent.</i>	)	
	)	

**RESPONDENT HMM COMPANY LIMITED’S SURREPLY TO
MSRF INC.’S REPLY BRIEF**

Respondent HMM Company Limited (“HMM”), through the undersigned attorneys, hereby submits this Surreply to MSRF Inc.’s Reply Brief (the “Surreply”) in this action.

**I.
INTRODUCTION**

MSRF brought its breach of contract action disguised as a claim for violations of the Shipping Act to try to obtain a ruling by the Federal Maritime Commission (“FMC” or “Commission”). MSRF’s initial brief, improperly captioned as MSRF’s Motion for Summary Decision¹ (the “Motion”), MSRF presented a breach of contract claim under service contract US2124083 (the “Service Contract”) alleging a failure by HMM to ship the minimum quantity commitment (“MQC”). In its Motion, MSRF simply alleged this breach of contract claim and quoted the Shipping Act, offering no legal argument. In light of the procedural chaos caused by MSRF’s decision to ignore the Scheduling Order, the Court issued an Order on Complainant’s Filings, accepting the April 21 and 24 filings as MSRF’s “brief” and instructing HMM to respond

¹ MSRF has engaged in similar antics in its case against Yang Ming under docket no. 22-21. See FMC Docket 22-21, April 24, 2023, Order on Complainant’s Filings.

as provided by the Scheduling Order. HMM filed its answering brief, whereupon MSRF filed a Reply to HMM's Opposition Brief (the "Reply") which sandbagged HMM by introducing additional facts and arguments not made in the Motion. HMM requested permission to file a surreply to address these new arguments, which was granted.

The original Motion lacked a foundation because it is jurisdictionally questionable and failed to offer a structured factual or legal argument upon which relief can be granted. The Reply does not improve upon this performance and raises novel facts and legal arguments which should have been made in the Motion. MSRF's effort to now make the arguments it should have made in the Motion fall flat because the Reply fails to allege cognizable claims under 46 U.S.C. §§ 41102(c) and 41104(a)(2), (9) and (10). Adding to the confusion, the Reply alternates between alleging claims under 46 U.S.C. §§ 41104(a)(2) and (10) by mistakenly referring to 46 U.S.C. §§ 41102(a)(2) and (10) no fewer than five times, including in its headings.² See Reply at 6-7. For the purposes of the instant Surreply, HMM assumes that the claims are made under 46 U.S.C. §§ 41104, but this represents the latest in a recurring pattern of deficiencies, the result of which are that HMM and the Presiding Officer are forced to try and interpret MSRF's deficient pleadings. In addition, MSRF appears to completely jettison its claim under 46 U.S.C. § 41104(a)(9), which is not raised at all in the Reply. See Reply. The Commission should therefore deny MSRF's arguments in the Motion and the Reply as legally insufficient to support MSRF's Shipping Act allegations as well as on the merits.

² Again, HMM is forced to assume what MSRF meant to argue when it should have done so properly on its own. Because 46 U.S.C. §§ 41102(a)(2) and (10) do not actually exist, HMM will, for the sake of good order, assume here that MSRF intended to address allegations under 46 U.S.C. §§ 41104(a)(2) and (10) throughout its arguments.

II. **ARGUMENT**

1. The Reply Still Fails to Articulate a Cognizable Claim Under the Shipping Act.

MSRF's Reply does nothing to advance its case because all of its arguments are premised on the alleged breach of contract claim. The Reply also introduces a new argument that "HMM violated the Shipping Act by refusing to provide MSRF with vessel space accommodations as required by the terms of the Service Contract." Reply at 3. In effect, MSRF argues that if there is a breach of contract, then there is a violation of the Shipping Act under each provision alleged by MSRF. While MSRF's line of argument captures what is essentially the full scope of MSRF's allegations, this argument does not pass muster. Not only does the alleged breach of the Service Contract fail to support MSRF's corresponding claims under each Shipping Act provision in question, but MSRF also fails to provide supporting evidence or show that HMM ever refused to ship MSRF's cargo when it had the opportunity to do so. HMM satisfied its Service Contract obligations but, even if that were not true, there are no facts pled or evidence produced showing that HMM violated any provision of the Shipping Act.

2. The Record Is Devoid Of Evidence Supporting Any of MSRF's Claims, and MSRF's Claims are No More than Breach of Contract Claims

HMM's Opposition to the Motion (the "Opposition") shows that the Shipping Act violations alleged in the Complaint are groundless. To the extent that the Commission is inclined to entertain MSRF's Motion and Reply, the record is devoid of evidence supporting MSRF's allegations. MSRF's argument is that 1) HMM breached the Service Contract by allegedly failing to meet the MQC and 2) the alleged breach of contract also gives rise to independent Shipping Act claims.

These arguments are untenable here because the Shipping Act, at 46 U.S.C. § 40502(f), precludes claims for breach of contract that are subject to dispute resolution clauses agreed

between the parties. The Commission has affirmed this in various holdings as well, perhaps most notably in *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.* where the Commission held that alleged violations, including claims under what is now 46 U.S.C. § 41104(a)(2), that were essentially contract claims must be dismissed when they do not raise allegations specific to the Shipping Act. 28 S.R.R. 1645 (FMC 2000). The Commission stated that claims which are:

premised on the obligation to meet one's contract commitments, and are therefore essentially breach of contract actions which section 8(c) renders not properly before the Commission in the absence of evidence offered by complainant (as the party bearing the burden of proof) that some extraordinary aspects of the allegation distinguish it substantially from a breach claim. *Id.*

Despite bearing the burden of proof that its claim is properly before the Commission, MSRF has failed to demonstrate any sort of distinction between its breach of contract claim and its Shipping Act claims. In other words, MSRF offers no independent or extraordinary allegations of a Shipping Act violation. As a result, the Shipping Act claims should be dismissed for failure to state a claim.

a. There was no violation of 46 U.S.C. § 41102(c)

In the Reply, MSRF argues that HMM violated 46 U.S.C. § 41102(c) but fails to articulate how or satisfy the elements of the claim. Under the Shipping Act, a common carrier must “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). In its argument, MSRF does not go so far as to state what regulation or practice is allegedly unjust or unreasonable on the part of HMM nor does MSRF show that any allegedly violative practice occurred on a normal, customary, or continuous basis.

In 2018, the Commission provided guidance in a rulemaking which specified five elements for a Section 41102(c) claim. The Commission stated that:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

Final Rule: Interpretive Rule, Shipping Act of 1984 (“Section 41102(c) Final Rule”), 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018); 46 C.F.R. § 545.4.

Without satisfying each of these elements, a claim under Section 41102(c) fails. Here, MSRF’s Reply simply alleges that HMM did not “provide MSRF with the agreed upon cargo space between May 2021 and April 2022” and that this was “not in accordance with standard shipping practices.” Reply at 4. MSRF is simply conflating its allegation that HMM failed to satisfy its MQC under the Service Contract with its allegation that HMM violated 46 U.S.C. § 41102(c). Even if it were true that HMM did not meet the MQC under the Service Contract, and in fact HMM shipped nearly double the MQC, finding that such a breach violated the Shipping Act would render 46 U.S.C. § 40502(f) meaningless and would mean that every allegation that an ocean carrier failed to meet an MQC in a Service Contract also gives rise to a Shipping Act claim. Such an outcome would be nonsensical and would conflict with Commission precedent. *See Cargo One*, 28 S.R.R. at 1644 (for the section now codified as 46 U.S.C. § 40502(f) to have meaning, it must have been intended to preclude the filing of some claims, including breach of contract claims that are not actionable by the Commission); *see also California Shipping Line, Inc. v. Yangming Marine*

Transport Corp., 25 S.R.R. 1213, 1220 (FMC 1990)(“Courts have made it clear that federal agencies must give effect to every word of a statute so that no part will be rendered inoperative, superfluous, void or insignificant.”).

MSRF fails to allege, let alone prove, that HMM acted on a normal, customary, and continuous basis in allegedly denying MSRF space on HMM vessels. The Reply describes a “record filled with evidence” of HMM’s alleged unreasonable and unjust “regulations and practices”. However, in support of this statement, MSRF cites only two exhibits, neither of which actually supports MSRF’s allegations. In fact, MSRF’s alleged evidence shows only that HMM twice could not immediately provide space as requested by HMM, with the same port of origin, over the entire term of the Service Contract. *See* Reply Exh. 1 and Exh. 2 (showing that HMM lacked capacity in the lane originating in Kolkata, India and could not satisfy two requests for immediate space in July of 2021 and November of 2021). Incredibly, MSRF also states that “HMM gave no explanation” for its inability to provide space when the email correspondence clearly shows that this lane and load port had limited capacity, long lead times for bookings, and that HMM was experiencing “ongoing vessel space issues across the board.” Reply Exh. 1 and Exh. 2. In other words, MSRF paints a picture in its Reply that is flatly contradicted by the evidence it cites in support.

First, MSRF cites to an email chain wherein HMM provided MSRF with booking information for a lane showing six consecutive weeks where vessel capacity was either full or where sailings were unavailable and where HMM employees also explicitly noted that “space will fill up quickly once India [is] able to accept bookings,” simultaneously describing a vessel shortage in the same email correspondence. Reply at 19-22, Reply Exh. 1. MSRF seems to believe – or at least argues – that, in this context, HMM’s inability to provide space that does not exist is akin to

a “refusal” to provide space. MSRF’s second exhibit is an email chain wherein MSRF sought space on a lane that HMM described as experiencing “vessel space issues” and where there was no “available feeder / mainline space.” Reply Exh. 2. In the same correspondence, when asked about their needs, MSRF indicated that it was shipping “2-4 containers per month” which would have exceeded its entire monthly allocation of approximately 2 containers per month with HMM. Reply Exh. 2.³ Moreover, MSRF offers no evidence that these particular containers were, in fact, shipped under arrangements that incurred a higher cost than that provided by the Service Contract.⁴

MSRF also fails to show or even allege with specificity that HMM adopted a regulation or practice consistent with the Commission’s definition of “practice.” As an example, in *Stockton Elevators, Certain Practices of*, the Commission held that a “practice” could be identified when it was uniform, habitually performed, and continuous, that a practice is one’s usual course of conduct. 3 S.R.R. 618 (FMC 1964). Other Commission precedent would require that a practice exist with regard to shippers generally and not the complainant alone. See *European Trade Specialists*, 19 S.R.R. 63 (FMC 1979)(the claim failed when complainant did not establish that a practice had been adopted with regard to shippers generally). MSRF has failed to show (or even allege) that HMM’s limited inability to accept cargo for immediate shipment on a single lane amounted to a “practice” and has made no allegation that HMM acted similarly with regard to other shippers.

³ Although MSRF now seeks to characterize the request for 2-4 containers per month from India alone as a request made under the Service Contract, this claim is non-sensical. It is undisputed that HMM was only obligated to ship approximately 2 containers per month in total for MSRF across all of the lanes in the Service Contract, and MSRF testified that the lane from Qingdao to Chicago was its primary route. Mirasol Tr. 19:22-20:6 (RX0206).

⁴ MSRF’s Damages Chart includes claims over four shipments from Kolkata to the Chicago area, but none appear to have been booked in the time frame during which a July shipment would have occurred. RX0391. This suggests that MSRF may have secured space under another service for the shipment(s) about which it complains here but did not incur a loss in doing so. Reply Exh. 2. The Damages Chart also shows that no shipment occurred within thirty days of the second container request cited here. *Id.* Thus, even if MSRF were able to show that HMM failed to ship the two containers from India, MSRF has not shown it suffered any damages from this alleged failure.

MSRF's claim under 46 U.S.C. § 41102(c) is unsupported by the evidence to which MSRF cites, and MSRF further fails to articulate an allegedly unlawful practice or regulation on the part of HMM. MSRF has also failed to show that HMM acted on a "normal, customary, and continuous basis," instead presenting two examples from a single port of origin which faced capacity constraints and where HMM could not immediately provide space.⁵ There is simply no colorable evidence that HMM failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering MSRF's property.

b. There was no violation of 46 U.S.C. § 41104(a)(2)

The MSRF Reply also alleges that HMM violated 46 U.S.C. § 41104(a)(2) by failing to honor the terms of the Service Contract. Under 46 U.S.C. § 41104(a)(2), HMM must provide service "in accordance with the rates, charges, classifications, rules, and practices contained in . . . [the] service contract." As noted above, Section 41104(a)(2) does not create jurisdiction for Shipping Act claims before the Commission without "extraordinary aspects of the allegation [that] distinguish it substantially from a contract claim." *Cargo One* at 1645.

In its Motion and Reply, MSRF fails to state, under 46 U.S.C. § 41104(a)(2), what "rates, charges, classifications, rules, and practices contained in a tariff published or a service contract" were violated. MSRF highlights its true claim by immediately pointing out what it calls an "obvious and crucial fact – HMM had already breach[ed] the terms of the Service Contract" rather than alleging a rate, charge, classification, rule, or practice that HMM did not honor. Reply at 6. In fact, MSRF cites no specific rate, rule, practice or action on the part of HMM which would fall into any one of these categories. Instead, MSRF states in conclusory fashion that HMM violated this Section of the Shipping Act by failing "to provide service that was in accordance with the

⁵ In its Motion, MSRF does allege that "HMM's acts occurred on a normal, customary, and continuous basis" but did not specify what acts it considered and cites to no evidence in support of this baseless allegation.

classifications, rules, and practices in the Service contract *because it refused to provide MSRF with the agreed upon minimum quantity of cargo space.*” MSRF’s argument again conflates a breach of contract claim with a violation of almost every component of 46 U.S.C. § 41104(a)(2). Reply at 6. This error is further exposed by MSRF’s reliance on only the Service Contract as evidence for this alleged Shipping Act violation. Reply at 6, CX0007-0201. MSRF’s failure to cite any evidence of HMM’s alleged conduct that would support a 46 U.S.C. § 41104(a)(2) claim dooms it to failure.

To support its claim under Section 41104(a)(2), MSRF relies on its Exhibits 3 and 4, but these documents contain no real discussion of the charges, classifications, rules, and practices contained in the tariff or service contract. Exhibit 3 shows only an email discussion regarding export shipments under the Service Contract and internal disappointment on the part of HMM that they were not able to further assist MSRF during the first two months of the Service Contract. *See* Reply Exh. 3. Exhibit 4 is a *New York Times* article where MSRF’s president was interviewed and expressed frustration with the shipping market, including his perception of HMM’s performance. *See* Reply Exh. 4. These exhibits do nothing to advance MSRF’s argument.

In this section of its Reply, MSRF also cites to the tariff which requires HMM to provide space and equipment to accommodate “10% of the annualized MQC for each sequential 30 day period of the contract” as evidence of a violation under 46 U.S.C. § 41104(a)(2).⁶ Reply at 7. This allegation relies on a myopic reading of the tariff that ignores its other terms, such as the agreed-upon mechanism whereby the Service Contract would either be extended to provide opportunities for additional shipments or the MQC reduced. RX0002-03. When read in full, Section 7(b) of the

⁶ MSRF still does not allege that a failure to conform to this tariff requirement violates any particular rate, charge, classification, rule, or practice by HMM, but alleges only that it shows a breach of contract and refusal to provide MSRF with the MQC under the Service Contract.

tariff provides that, when a shipper, having given 14 days booking notice to HMM, does not receive the MQC due to HMM's inability to supply space or equipment, the shipper may request a reduction in its MQC. RX0003. If the shipper does not make such a request within seven days, the contract's term could be extended upon expiration of the contract by no more than ten weeks so that the MQC could be fulfilled. *Id.* Here, MSRF never requested a reduction in the MQC and HMM extended the term of the Service Contract, permitting MSRF to ship nearly twice the MQC.⁷ Mirasol Tr. 68:7-69:5 (RX0218). Accordingly, there is no serious argument that HMM failed to conform to the tariff and this claim should be rejected.

Notwithstanding the flimsiness of MSRF's allegations under the tariff, MSRF simply repeats its assertion that HMM breached the service contract and therefore also breached the Shipping Act. Unfortunately for MSRF, repetition of deficient arguments does not change the substance of 46 U.S.C. § 40502(f), which makes clear that MSRF's "exclusive remedy for a breach of a service contract is an action in an appropriate court" unless the parties agree otherwise. Here, the parties also agreed to arbitration under the tariff, but, again, MSRF seeks to ignore the parts of its agreement that are inconvenient to its current pursuit before the FMC. Regardless of what was agreed, the statute makes clear that breach of contract claims are inappropriately raised before the Commission.

MSRF's complaint here, when distilled, is that MSRF did not like the agreement that it made either because MSRF misunderstood its rights under the contract or because MSRF did not bother to read the terms of the agreement prior to entering into it. Reich Tr. 33:21-34:10; 41:14-41:25 (acknowledging the incorporation of the tariff in the Service Contract but stating that he had no recollection of reviewing the tariff prior to signing the Service Contract); Mirasol Tr. 66:19-

⁷ This is the extension of the term that MSRF characterized as akin to "winning a casino jackpot" because of the comparatively low freight rates in the Service Contract compared to then prevailing market rates. See RX0331.

69:19 (acknowledging the terms of the tariff and that MSRF took no action to reduce the MQC under the tariff's terms because MSRF wanted to save up the volume for later use). Most notably, MSRF appears to engage in "cherry picking" the parts of the Service Contract and corresponding tariff terms it would like to enforce against HMM while ignoring the parts of the agreement that are inconvenient for it. MSRF's claim under 46 U.S.C. § 41104(a)(2), as articulated in the Reply, is patently deficient and should be denied because HMM acted in conformity with the rates, charges, classifications, rules, and practices contained in the Service Contract and corresponding tariffs.

c. There was no violation of 46 U.S.C. § 41104(a)(9)

The Motion raises a claim under 46 U.S.C. § 41104(a)(9) by restating the statutory provision and little more, but MSRF appears to abandon this claim in the Reply.⁸ 46 U.S.C. § 41104(a)(9) prevents a carrier from giving any undue or unreasonable preference to any port, and MSRF has pled no facts or raised any argument to support this claim. In order to sustain a claim under 46 U.S.C. § 41104(a)(9), the claimant must demonstrate that a particular port was targeted by the respondent rather than simply offering allegations that a shipper was impacted negatively by the actions of the carrier. *See OJ Commerce, LLC v. Hamburg-Sudamerikanische Dampfschiffahrts-Gesellschaft A/S and Hamburg Sud North America, Inc.*, Docket No. 21-11, Order on Respondents' Motions to Partially Dismiss and for a Protective Order and Complainant's Motion for Expedited Relief, 4-6 (ALJ, Admin. Final 2022)(holding that complainant must allege that conduct was targeted at a specific port rather than a specific shipper for a claim to survive under 46 U.S.C. § 41104(a)(9)). Here, MSRF has not identified any port that was given any preference when compared to another port and has admitted that HMM did not demonstrate any

⁸ Again, HMM is left to guess at MSRF's intent here as MSRF makes no mention whatsoever of this Shipping Act provision in its Reply.

preference for any ports discussed with MSRF. Reich Tr. 15:16-2 (RX0260). Moreover, the Complaint, Motion, and Reply all allege that any conduct on the part of HMM was aimed at the shipper. Accordingly, this claim should be denied. In the absence of any evidence of port discrimination by HMM, or even a colorably pled allegation, this claim must be dismissed.

d. There was no violation of 46 U.S.C. § 41104(a)(10)

Similarly lacking in both legal argument and merit is MSRF's allegation that 46 U.S.C. § 41104(a)(10) was violated by HMM. This section of the Shipping Act prevents a carrier from unreasonably refusing to deal or negotiate with a shipper. 46 U.S.C. § 41104(a)(10). The allegation that HMM refused to deal with MSRF is ludicrous because the gravamen of MSRF's complaint is that HMM breached the very Service Contract negotiated by MSRF.

There is no precedent which would suggest that a failure to satisfy the MQC, if that were to occur, under a Service Contract would amount to a Shipping Act violation. Accordingly, MSRF cites to no precedent or rule suggesting this is so. Commission precedent sets a high bar for finding a violation under 46 U.S.C. § 41104(a)(10). In interpreting this prohibition as it relates to a refusal to deal, the FMC has stated:

The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA. All that is required is that common carriers . . . refrain from 'shutting out' any person for reasons having no relation to legitimate transportation-related factors. *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff'd* 29 S.R.R. 1066 (FMC 2002), *aff'd New Orleans Stevedoring Company v. Federal Maritime Commission*, 30 S.R.R. 1066 (D.C. Cir. 2002) (emphasis added).

Furthermore, the Commission is presently engaged in rulemakings which would clarify further the precise bounds of claims under 46 U.S.C. § 41104(a)(10) while clearly maintaining that this provision only applies to unreasonable refusals during the negotiation stage, when the parties do not have an existing relationship and/or are initiating negotiations over terms and conditions of

service. Definition of Unreasonable Refusal To Deal or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier, 88 FR 38789, 38791 (June 14, 2023)(affirming that 46 U.S.C. § 41104(a)(10) would only apply during the negotiation stage of a shipper’s relationship with an ocean carrier and not during the execution stage of the contract; impediments arising during the execution stage of a contract are outside of the scope of Section 41104(a)(10)). In the same rulemaking, the Commission affirmed its view that breach of service contract claims are not within the scope of Section 41104(a)(10). *Id* at 38797 (“Presumably, an enforceable service contract would not allow for the type of conduct that the Commission would be likely to consider an unreasonable refusal to deal or negotiate, and if a service contract is materially breached, the parties have remedies that are beyond the Commission’s purview”).

In its arguments under 46 U.S.C. § 41104(a)(10), MSRF again alleges that a violation resulted from a refusal to provide space under the Service Contract during its term “between May and April of 2022.”⁹ Reply at 7. Without arguing how an alleged refusal to ship cargo under an existing agreement is a refusal to deal or negotiate, MSRF also fails to present any evidence that would support this allegation. Instead, MSRF relies on its first four exhibits, the merits of which are discussed *supra*. These include two discussions about space constraints in Kolkata, India; a discussion about export shipping which is not relevant to MSRF’s present claims; and a news article which quotes MSRF’s president, none of which show that there was a refusal to deal or negotiate on the part of HMM. Reply Exh. 1-4. Furthermore, not one of the exhibits relates to conduct preceding the signing of the Service Contract, and MSRF says as much by noting the timing of the alleged misconduct from May of 2021 to April of 2022, meaning that MSRF’s allegations cannot relate to refusal to deal prohibited by 46 U.S.C. § 41104(a)(10).

⁹ MSRF does clarify on page 8 of its Reply that the time period it refers to is “between May 2021 and April of 2022.”

MSRF further alleges that “HMM gave no explanation nor did it attempt to remedy the issues they caused because of their refusal to provide the space MSRF requested.” Reply at 7. The evidence to which MSRF cites directly provides an explanation for HMM’s *inability* to provide immediate space on one lane, including vessel shortages, capacity constraints, and void sailings. Reply Exh. 1 and 2. MSRF has also failed to demonstrate what “issues,” if any, were caused by HMM because MSRF testified that it had service contracts with at least three other ocean carriers. To the extent MSRF relies on the damages spreadsheet, this cannot be taken seriously in light of its multitude of flaws and inconsistencies as noted in the Opposition. See Opposition at 8-10. Not only does MSRF fail to state its legal arguments or raise evidence in support of them, all of its allegations relate to conduct not within the scope of 46 U.S.C. § 41104(a)(10).

MSRF also argues that its ability to ship containers by way of a third-party freight forwarder on HMM vessels is evidence that HMM discriminated against MSRF, but this simply ignores all manner of ocean carrier operations and is premised on faulty information and alleges conduct not within the scope of Section 41104(a)(10). While it is possible that a portion MSRF’s cargo was shipped onboard a vessel owned by HMM under a third-party contract, there is no evidence that space that would have otherwise gone to MSRF was instead sold elsewhere. Indeed, many freight forwarders have service contracts with carriers to move cargo, with the freight forwarder then selling the actual space on the spot market at a profit. Moreover, the evidence cited by MSRF proves the opposite of what it contends¹⁰: that none of the five shipments MSRF

¹⁰ MSRF cites to its Damages Spreadsheet which lists corresponding Bates numbers for the underlying invoices of each shipment. However, MSRF did not Bates stamp these invoice documents nor did MSRF include these invoices in its appendix. HMM did include these invoices in its appendix and therefore relies on the underlying documents which were compared to the shipments using the container numbers, invoice numbers, and other identifying details to verify the relationship between each “file number” described by MSRF and its respective invoice details.

identifies was carried aboard a vessel owned by HMM.¹¹ MSRF presents no reliable evidence of what it alleges here: 1) that its cargo moved aboard vessels owned by HMM or 2) that MSRF attempted to book any of these containers with HMM before shipping with a third party. Alone, this allegation should be viewed as unpersuasive in light of ocean carrier booking policies and operations generally, but MSRF's alleged evidence is factually unsound, further eviscerating any value of this so-called evidence.

On the other hand, HMM presented evidence, including testimony from MSRF's witnesses that HMM did negotiate with MSRF in advance of the Service Contract and during its term, executing fourteen amendments. *See* RX0338-46 (showing negotiations that occurred through correspondence); Mirasol Tr. 28:12-28:20; 38:19-38:23 (stating that a negotiations between HMM and MSRF culminated in an agreement; that HMM did not refuse to negotiate with MSRF; and that MSRF was happy with the terms of the Service Contract when it was signed); Reich Tr. 60:3-61:6 (acknowledging that even in the last amendment to the Service Contract, HMM provided a benefit to MSRF by arranging service in a new lane at MSRF's request). MSRF's own Complaint also includes allegations both that negotiations did occur and that a service contract was agreed to between HMM and MSRF. Complaint at ¶¶ 20, 22, 55. The Complaint also states that "MSRF accepted" the terms of the agreement. Complaint at ¶ 22. Email correspondence also demonstrates that MSRF and HMM negotiated over terms like the MQC, freight rates, and ancillary charges that were included in the resulting contract. *See* RX0338-46. In fact, the entire scope of MSRF's

¹¹ While MSRF's spreadsheet indicates that these shipments each implicate HMM as ocean carriers of the cargo, the underlying support found in MSRF's invoices (RX0536-38; RX0570-72; RX0729-33; RX0744-54) show that none of the five shipments moved aboard a vessel owned by HMM. These vessels include the EXPRESS BERLIN owned by Hapag-Lloyd as well as the YM LOYALTY and YM TOPMOST which are both owned by Yang Ming Lines.

allegations rest on the premise that a Service Contract was negotiated and agreed between the parties.

Ultimately, MSRF's arguments that HMM refused to negotiate or deal are undermined because they have no foundation and because HMM and MSRF reached an agreement following negotiations. MSRF, once again, rehashes its allegations that the Service Contract was breached because the MQC was not met and that this "refusal" to provide space to MSRF is also evidence of Shipping Act violations. These allegations are unreliable because they have no factual underpinnings and because they are disproved by the fact that HMM provided nearly double the MQC worth of space. Not only this, but the arguments raised by MSRF about the execution of the Service Contract are completely outside the scope of Section 41104(a)(10). MSRF's arguments, improperly raised for the first time in its Reply, still fail because they amount to nothing more than an unfounded and baseless breach of contract claim and do not allege a cognizable claim under Section 41104(a)(10).

III. **CONCLUSION**

MSRF's Reply is little more than an after-the-fact attempt to correct the deficiencies that plagued its barely cogent Motion and a smokescreen intended to dress up a simple breach of contract claim as a Shipping Act claim. In both the Opposition and this Surreply, HMM has been left to guess at the nature and substance of MSRF's claims. Simply alleging that a baseless breach of contract claim constitutes a violation of the Shipping Act, without more, is not sufficient to establish Commission jurisdiction and does not represent a cognizable claim under the Shipping Act. HMM demonstrated in its Opposition, and here, that it performed under the Service Contract, carrying almost double the MQC under the Service Contract. HMM has further proven that MSRF's purported evidence and arguments do not satisfy what the Shipping Act and Commission

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 22nd day of June, 2023, a true and correct copy of the foregoing Respondent's Surreply was served via electronic mail on:

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